
SLOVENIA
2007

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

In 2007 in Slovenia average monthly gross earnings for activities C to K amounted to EUR 1,218.76 (annual value EUR 14,625).

2. Unemployment insurance

Statutory basis for unemployment insurance is “Employment and Insurance in the Case of Unemployment Act” (*Zakon o zaposlovanju in zavarovanju za primer brezposelnosti*) (Official gazette RS, no. 79/2006).

2.1 Conditions for receipt

Payable for any registered unemployed person who is actively seeking full-time work.

Unemployment benefit conditions :

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfillment of a minimum period of insurance,
- registration at the Employment Service of Slovenia (regional unit or branch office),
- application for benefit within 30 days of the termination of employment,
- capable of work,
- available to Employment Service (3 hours per day),
- actively seeking employment.

2.1.1 Employment conditions

Unemployment Benefit qualifying period:

- at least 12 months of employment with the same or different employers during the previous 18 months (full time equivalent),
- at least 12 months of insurance during the previous 18 months for seasonal workers employed for a definite period of time after conversion of working hours into the full time equivalent.

2.1.2 Contribution conditions

Compulsory insurance for employees (apprentices included). Voluntary insurance for :

- self-employed,

- owners of enterprises that are not insured on any other basis,
- citizens, employed by a foreign employer in a foreign country, who, upon return, cannot exercise their rights in case of unemployment on any other basis,
- spouses of citizens of the Republic of Slovenia employed abroad, if the spouse was employed in the Republic of Slovenia before departure abroad.

2.2 *Calculation of benefit amount*

Earnings taken as reference are person's average monthly earnings (no ceiling) received during the 12 months before the termination of employment, including compensation of salary (health insurance or old-age and invalidity insurance). If the person was not receiving any payment, then their basic wage (increased by any bonuses that they would have received) is taken as a reference.

2.2.1 *Calculation of gross benefit*

Unemployment benefits rates:

- first three months: 70% of the reference basis,
- following months: 60% of the reference basis.

Minimum: at least 45,56% of the Minimum wage in RS (*minimalna plaća*) net of taxes and contributions. Until 31 July 2007 this amount was EUR 521.83 and from 1st August 2007 EUR 538.53 (see 3.1) per month. Maximum: 3 times minimum unemployment benefit.

2.2.2 *Income and earnings disregards*

Reasons for termination of the entitlement to benefits are defined by the law (11 reasons), mainly related to not being available for work, not searching work and unjustifiably declining employment, temporary work, measures of training and education or other measures for reemployment, working illegally (moonlighting).

In some other cases defined by the law the amount of benefit may be reduced.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment Benefits are subject to taxation.

2.4 *Benefit duration*

Unemployment benefit duration depends upon length of insurance:

- 3 months for insurance of 1 to 5 years,
- 6 months for insurance of 5 to 15 years,
- 9 months for insurance of 15 to 25 years,
- 12 months for insurance of 25 years or more,
- 18 months for insured persons over 50 years of age and insurance period of more than 25 years,
- 24 months for insured persons over 55 years of age with on insurance period of more than 25 years.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None

2.5.2 *Older workers*

The duration of unemployment insurance is prolonged for unemployed persons aged 50 or more.

Unemployment Extension of payment of pension fund contribution :

- citizen or foreigner with permanent residence and a work permit,
- less than 3 years to the fulfillment of conditions for retirement.

2.5.3 *Others if applicable*

An insured person, who seeks a full-time job but enters a contract on employment for for part-time job, is entitled to receive unemployment benefit for the remaining time of entitlement to such benefit.

3. Unemployment assistance

Rights to unemployment assistance are not regulated in Statutory basis for unemployment assistance is “Employment and Insurance in the Case of Unemployment Act” (*Zakon o zaposlovanju in zavarovanju za primer brezposelnosti*) (Official gazette RS, no. 79/06) since 27.7.2006.

3.1 Conditions for receipt

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.2 Income and earnings disregards

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

3.5.3 Others if applicable

4. Social assistance

Financial social assistance is a residual social benefit which acts as a final safety-net. It is designed as a minimum needed to cover the costs of most needed issues: food, clothes, heating, hygiene & minor-basic health-care costs, etc.

4.1 Conditions for receipt

Social assistance is paid conditionally on passing a means test. The need for social assistance is estimated each time case by case.

To provide financial assistance to individuals and families who are temporarily unable to secure sufficient funds for basic subsistence according to statutory criteria. Social Work Centre (*Center za socialno delo*) may grant Financial Social Assistance (*denarna socialna pomoč*) to help alleviate temporary material hardship of those without sufficient subsistence means.

Beneficiaries are: all permanent residents, as well as those entitled on a basis of international agreements ratified by the Republic of Slovenia.

Financial Social Assistance (*denarna socialna pomoč*) is granted to family members and to single persons. As family member claimants are defined: spouse or cohabitant, claimant's children, stepchildren for the duration of his/her obligation to care for them, parents and stepparents, orphaned grandchildren, nephews and nieces of the claimant, if she/he has to support them.

In 2006 Act on Social Assistance was modified and come into force from 2007. Beneficiaries/recipients of Financial Social Assistance are now obliged to accept all kind of offered employment or work activities (8h/week, max. 56h/month) in non-profit sector for which they are able (physically and mentally).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The level of Financial Social Assistance (*denarna socialna pomoč*) is linked to the Basic Minimum Income (*minimalni dohodek*) determined by and adjusted in accordance with the Social Protection Act (*Zakon o socialnem varstvu*); Official gazette 3/07, 23/07, 41/07; and Act regulating adjustments of transfers to individuals and households in the Republic of Slovenia (*Zakon o usklajevanju transferov posameznikom in gospodinjstvom*); Official gazette 114/06; once a year. In 2007, the Basic Minimum Income (BMI) amounts to: EUR 205.57.

Families are entitled, if their total monthly income does not exceed the following thresholds:

- First adult and single person: 100% of the BMI = EUR 205.57
- Every next adult: 70% of the BMI = EUR 143.89
- Child up to 18 years of age: 30% of the BMI = EUR 61.67

The monthly amount of Financial Social Assistance (*denarna socialna pomoč*) is defined as the difference between corresponding thresholds and total income of family (family members), according to the above mentioned rules.

Rent amounts (table below) are set by law and refer to upper limits for the six household types.

	2005 (in SIT)	2006 (in SIT)	2007 (in EUR)
1 person	18213	20130	85
2 persons	25641	28517	125
3 persons	31393	34748	152
4 persons	37144	41218	180
5 persons	42896	47449	208
6 persons	48647	53679	235

4.2.2 *Income and earnings disregards*

"Income taken into account" includes inheritance, gifts, income from agricultural and entrepreneurial activities and all wages and earnings of an individual or his family members which are subject to income tax, as well as non-taxable personal earnings, with the few exceptions (scholarships, alimony, child benefits,...),

Financial Social Assistance (*denarna socialna pomoč*) will not be granted; if savings or property (with some exceptions) exceeds the level of 60 times the BMI (the national BMI 2007 amounts to EUR 205.57).

4.3 ***Tax treatment of benefit and interaction with other benefits***

Financial social assistance is delivered as net income and is not taxable.

Financial social assistance is taken into account as income when child benefits are calculated.

4.4 ***Benefit duration***

The duration of Financial Social Assistance (*denarna socialna pomoč*) may not exceed a period of 3 months when granted for the first time or 6 months, if circumstances remain unchanged. Under certain conditions benefit may be granted for maximum of 12 months or even permanently (age over 60 years, permanent inability to work, no income and no one with obligation to financial support).

4.5 Treatment of particular group

Financial Social Assistance (*denarna socialna pomoč*) is given primarily to the family as a whole. No other conditions relating to age.

4.5.1 *Young persons*

Assistance is also given to single persons aged over 18 years, who are neither married nor cohabiting and have no children. If they have children, than they are treated as family.

4.5.2 *Older workers*

No special treatments.

4.5.3 *Others if applicable*

For a single-parent family the financial social assistance – the level of minimum income is increased by an additional 30% of the BMI.

There is also an SA increase which is rent-related. See section 5 for details.

5. **Housing benefits**

Housing benefits are under the competence of the Ministry for environment and spatial planning and are defined in the Housing Act (*Stanovanjski zakon*); Official gazette 69/2003 and 18/2004; that was put in force on October 2003, while a new system of housing benefits was put in force on 1st January 2005. The act among others regulates formation of the non-profit rents and housing benefits.

Analysis of paid subsidies:

Year	Paid subsidies (mio EUR)	Number of claimants	Average monthly subsidy (in EUR)
2004	mio SIT 1,210	6,900	SIT 14,614 (EUR 61)
2005	mio SIT 930	5,400	SIT 14,352 (EUR 60)
2006	mio SIT 1,163	5,700	SIT 17,025 (EUR 71)
2007	5.2	5,870	74

Source: Ministry for environment and spatial planning

5.1 *Conditions for receipt*

Admission census:

Size of the Household	Average household income per month (SIT)	Average household income per month (€)
1 member	up to 90,000	up to 375
2 members	up to 150,000	up to 625
3 members	up to 180,000	up to 750
4 members	up to 210,000	up to 875

5.2 *Calculation of benefit amount*

Housing benefits depends on the claimant's income and amounts in a range 1% to 80% of the rent for apartment (compulsory 20% minimum payment by claimant). Subsidy is calculated according to the size of apartment defined as appropriate for social apartments and it depends also on the number of the household members.

Beneficiary must pay 20% of the rent and if beneficiary's ability of rent payment is below 20% then beneficiary is entitled for HB in amount of 80% of the rent. If beneficiary's ability is more than 20% of the rent then beneficiary is entitled for HB in amount of difference between the ability and rent.

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

Standards for the size of non-profit apartment and for housing benefit claimant :

1 person: 20-30m2
2 persons: 30-45 m2
3 persons: 45-55 m2
4 persons: 55-65 m2
5 persons: 65-75 m2
6 persons: 75-85 m2
for further member +6m2

In the year 2007 was the average housing subsidy EUR 74.

6. Family benefits

6.1 *Conditions for receipt*

The claimant (one of the parent or another person for a child) must have a dependent child aged under 18, or under 26 if is still in education or the child is over 18 and has no parents or does not live in a joint household with parents, if the Centre of social work decides so on the basis of the circumstances.

6.2 *Calculation of benefit amount*

The aim of child benefit is to provide parents or the child supplementary income for living, raising and education when the income per family members does not exceed the maximum limit of income class. For the purposes of family benefits, income is defined as earned income plus unemployment benefits, but excludes family benefits. All included amounts are gross income, not net (after tax) income.

6.2.1 *Calculation of gross benefit*

Child benefit amounts in 2007 to (in EUR per month):

Income per family member in % of the average monthly wages of all employees	Amount of child benefit for each child		
	1st child	2nd child	3rd child and subsequent child
up to 15%	94,44	103,89	113,34
over 15% to 25%	80,75	89,27	97,73
over 25% to 30%	61,55	68,78	76,00
over 30% to 35%	48,54	55,39	62,36
over 35% to 45%	39,69	46,32	52,91
over 45% to 55%	25,15	31,48	37,77
over 55% to 75%	18,86	25,15	31,48
over 75% to 99%	16,42	22,71	29,00

If a pre-school child does not attend kindergarten in accordance with the regulations for kindergartens, the amount of the child benefit is increased by 20%.

In addition to child benefit there are following supplementary allowances available:

Child birth allowance – one-time assistance at childbirth (financial assistance – amount EUR 250.26 in 2007 - or a package for the newborn)

Parental allowance - financial assistance (365 days after the birth of a child) to parents when they are not entitled to parental compensation after the birth of the child. In the year 2007 parental allowance amount to EUR 175.15 per month.

Large family allowance is an annual benefit for families with three or more children. In 2007 large family allowance for three children amount to EUR 350.73, for four or more children amount to EUR 427.72 and is paid as a lump sum payment.

Partial payment for lost income. Partial payment for lost income is a personal benefit to one of the parents who has terminated his or her employment or started to work short time in order to care and safeguard a child with severe disturbance in mental development or severe disability in movement. The monthly amount of partial payment for lost income is the minimum wage for which the person concerned pays social security contributions.

6.2.2 *Income and earnings disregards*

Child benefit is defined as percentage from the average monthly wage of all employees (A-O) in the Republic of Slovenia for the calendar year before the application is filed and is tested once a year (1212,80 EUR for 2006). The amount of the child benefit also depends on the number of children in the family receiving child benefit.

6.4.3 *Others if applicable*

Lone parents: The amount of child benefit is increased by 10% (only for child benefit (6.2.1 page 10))

Special Child Care Allowance for a Child in Need of Special Care: Additional allowance. The monthly amount of special care allowance is in 2007 EUR 90.08. For a child with severe disturbances in mental development and children with severe disability in movement, who need special care, the allowance is EUR 180.21.

7. **Childcare for pre-school children**

Pre-school education, offered by pre-school institutions, is not compulsory. It includes children between the ages of 1 and 6. 64.8% of all children of the proper age were included in kindergartens in the school year 2006/2007. The curriculum is divided in two cycles (from 1 to 3 and from 3 to 6). The new curriculum promotes different types of programme such as: day, half-day and short programmes. There is also possibility of childminders, pre-school education at home or occasional care of children in their homes. The Curriculum for Pre-school Institutions was approved by Council of Experts and it defines six areas of

activities: movement, language, art, nature, society and mathematics. The goals set in individual fields of activities provide the framework for selection of contents and activities by teachers.

Basic education has been extended from eight years to nine.

7.1 *Out-of-pocket childcare fees paid by parents*

Ministry of Education and Sport and Local community are responsible for giving the answer about specifications about costs in mentioned institutions.

Ministry of Finance is responsible for giving the information about taxes.

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

The right to child benefit shall be granted to one of the parents or another person for a child who live registered in the Republic of Slovenia when the income per family member does not exceed the maximum limit of income class pursuant to Parental Protection and Family Benefits Act.

The child shall be a person until the age of 18, or older if she or he attends school for as long she or he has the status of a pupil, apprentice or undergraduate student, but only until the age of 26 at the latest.

The right to child benefit shall not be granted to one of the parents for the child who in order to obtain education, schooling or training lives in an institution which provides fulltime care free of charge.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Gross income includes all the incomes which are subject to personal income tax, transfer income and all other income which is described in the 73. Article of the Parental Protection and Family Benefits Act.

The average monthly income per family member shall be calculated by dividing the family's joint income with the number of months to which income relates and the number of the family members pursuant to the Parental Protection and Family Benefits Act

7.2.2.2 Income and earnings disregards

Families shall be classified into individual classes on the grounds of the average monthly income per family member in the preceding calendar year. When the right to child benefit is applied for in January, February or March, the average monthly income per family member in the calendar year before last shall be taken into account.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Ministry of Finance is responsible for giving the information about taxes.

7.2.4 *Treatment of particular groups*

The amount of the child benefit shall be laid down on the basis of family placement in the income class and the number of the children. The child benefit for the child who lives in a single-parent family shall be increase by 10%.

8. Employment-conditional benefits

1. Employment rehabilitation.

Persons with disability are eligible for employment rehabilitation programme including services for persons with disability for counselling, motivating and empowering persons with disability for taking active part in their employment lives, making assessment on working abilities, knowledge, skills and professional interests, psychosocial rehabilitation and informing of options in labour market, follow-up of social and working environment, helping to find proper job, helping for developing professional goals and social skills, analysis of working environment, analysis of required technology in working environment, training for specific job.

Eligibility depends on:

- Whether there is influence of the effects of physical or mental disability or disease on an individual.
- Needs for services of employment rehabilitation as a part of whole rehabilitation.
- Level of employability by adapting working environment or using of modern technology.
- Assessment of social or working environment.

2. Allowance

Persons with disability who participate in programme of employment rehabilitation are eligible for temporary allowance to compensate loss of income for the time of participation. Allowance also includes travel and accommodation expenses of the participants.

Employment service of Slovenia has the authority to decide about the entitlement of the status or rights of persons with disability.

3. Subsidy of salary

Persons with disability are eligible for compensation of lower incomes due to their lack of productivity.

The subsidy is intended for employees with disability in protected and supported work places. 30-70% of salary is intended for those employed in protected work places, 5-30% of salary for those in supported employment and 5-30% of salary for those employed in companies for persons with disability. Subsidy is dependent on level of disability.

The entitlement for subsidy is decided upon Foundation for promoting employment of persons with disability.

8.3 Tax treatment of benefit and interaction with other benefits

N/A

8.4 Benefit duration

Benefit duration is dependent on duration of the participating in Programme of employment rehabilitation, whilst subsidy is not limited.

9. Lone-parent benefits

(see chapter 6 on Family benefits)

10. Tax system

Tax system consists of central government level, local communities level and social contributions.

10.1 Personal Income tax

Personal income tax is levied on six categories of income: income from employment, business income, income from basic agriculture and forestry, income from property (rental income, royalties, interest and dividends), capital gains and other income accruing to persons liable to tax in the Republic of Slovenia.

Residents are liable to income tax on their worldwide income (i.e. income derived in Slovenia as well as abroad). Non-residents are liable to income tax on income derived in Slovenia.

An individual, regardless of his nationality, is a resident in Slovenia for personal income tax purposes if he has a formal residential tie with Slovenia (i.e. has permanent residence in Slovenia, is a Slovenian public employee employed abroad or was a Slovenian resident but is currently employed in an EU institution) or actual residential tie with Slovenia (has a habitual abode or centre of personal and economic interests or is present more than 183 days in a taxable year in Slovenia).

Each individual is treated as a separate taxpayer. There is no taxation of spouses or a family as a whole. The tax year is the calendar year.

Income tax on interest, dividends and capital gains is paid according to a flat income tax rate. Any such tax payment is treated as a final tax for residents and non-residents alike. Tax rates are the following:

-Interest: 15% in 2007 and 20% thereafter;

-Dividends: 20%;

-Capital gains: 20% for a holding period of up to 5 years, 15% for a holding period from 5 to 10 years, 10% for a holding period from 10 to 15 years, 5% for a holding period from 15 to 20 years and 0% for a holding period greater than 20 years.

Income tax on other categories of income (income from employment, business income, income from basic agriculture and forestry, rental income, royalties and other income are hereinafter referred to as *active income*) is paid during the tax year in the form of advance tax payments. The rate for advance tax payment

is prescribed by the Personal Income Tax Act. Any such advance tax payment of a non-resident is treated as a final tax, whilst in the case of a resident it is treated as a prepayment of tax.

When the payer of income is a domestic legal person, body of persons without legal personality, an individual who operates a business or a permanent establishment of a non-resident, the payer is bound to calculate and pay withholding tax for the taxpayer. Tax payments in all other cases (i.e. when there is no payer of income) are to be made by the taxpayer in due time, as determined by Tax Procedure Act.

The annual *active income* tax liability of a resident is computed in such a manner that the taxable bases of different sources of income earned in a calendar year are computed separately and then aggregated. The annual taxable base is computed after compulsory social security contributions and certain allowances are deducted. The net amount is taxed at progressive rates. The annual tax rate schedule is fixed and applies for the following year. It is adjusted on a yearly basis according to the consumer price growth factor in Slovenia. This enables the taxpayer to determine his *active income* tax liability already during the tax year.

10.1.1 *Tax allowances and deductions*

10.1.1.1 Standard allowances and deductions

Allowances and deductions that reduce the aggregated taxable base for a resident taxpayer on an annual level include:

- 1 General allowance: EUR 2.800 in 2007 for all resident taxpayers.
- 2 Personal allowances:
 - Disabled person's allowance: EUR 14.971 in 2007 if the resident is a disabled person;
 - Seniority allowance: EUR 1.205 in 2007 for the resident older than 65 years of age;
 - Pensioner's allowance: 13,5% of the pension received from compulsory pension and disability insurance;
 - Working disabled person's allowance: 13,5% of the compensation received from compulsory disability insurance;
 - Independent artist and journalists: a special deduction of 15% from their revenues (up to EUR 25.000);
 - Student allowance: EUR 2.800 in 2007 for income earned by pupils or students for temporary work done on the basis of a referral issued by a special organization dealing with job-matching services for pupils and students;
- 3 Special deduction for voluntary additional pension insurance: amounts of premium paid by a taxpayer or his employer but no more than 24% of compulsory contributions for pension insurance paid by a taxpayer but no more than 2.390 euros annually (for 2007).

An individual-resident may choose to earmark up to 0,5% of their personal income tax (from active income) to persons whose activity is in the general interest and is provided on a non-profit basis.

An individual who is a resident of another EU Member State and derives income in Slovenia from employment, business income or income from agriculture that is taxable in Slovenia may claim a general allowance, seniority allowance and family allowance if the individual can attest that the above-stated income derived in Slovenia amounts to at least 90% of his entire taxable income for the tax year. A non-resident claiming such allowances is obliged to file the same annual active income tax return that applies to residents.

4 Relief for work related expenses:

- travelling to the work (up to the costs of public transport)
- meal during the work (up to EUR 5.54 per day)
- daily allowance for expenses during business travel
- expenses for business travel (documented)
- expenses for hotel (documented)

10.1.1.2 Standard tax credits

There is no standard tax credit.

Residents receiving pensions and compensation for disability from social security system (pension and disability) are granted a tax credit in an amount equal to 13,5% of their pension.

10.1.2 *Income tax schedule*

- Tax schedule for the year 2007 is: in EUR

Taxable base

Over	To	Taxes
	6,800	16%
6,800	13,600	1,088 + 27% over 6800
13,600		2,924 + 41% over 13,600

10.1.3 *State and local income taxes*

There is no personal income tax on the local level.

10.2 Treatment of family income

Tax unit is an individual.

Family allowances are granted to residents who support their family members:

- 1 An allowance of EUR 2,066 is given for the first dependent child. For each subsequent child this amount is raised (by EUR 180 for the second child; by EUR 1,680 for the third child; by EUR 3,180 for the fourth child; by EUR 4,680 for the fifth child and by EUR 1,500 for any subsequent children)
- 2 EUR 7,486 for dependent child who require a special care
- 3 EUR 2,066 for any other dependent family member.

Family allowance for a dependent child can be granted only to one taxpayer (parent), the other can use only a difference to the granted allowance.

10.3 Social security contribution schedule

There are four rates of contribution that apply to employers and employees for the four social security schemes.

Contribution rates for social security

Fund	Employee (%)	Employer (%)
Pension insurance	15.50	8.85
Health insurance	6.36	7.09
Unemployment	0.14	0.06
Maternity leave	0.10	0.10
Total	22.10	16.10

10.4 Treatment of particular group

10.4.1 Young persons

Resident students are granted special allowance of EUR 2.800 for income earned by pupils or students for temporary work done on the basis of a referral issued by a special organization dealing with job-matching services for pupils and students..

10.4.2 Older workers

No special regime

10.4.3 Others if applicable

Personal allowances are granted to the:

1. residents, older than 65 years old (EUR 1,205 in 2007)

2. residents-disabled persons (EUR 14,971 in 2007)

10.5. Tax on payroll

Tax on payroll is regulated by Tax on paid wages act (Zakon o davku na izplačane plače), come into force 1 January 2006. Tax on wages from 1st January to 31st December 2007 is paid by employer as follows:

Monthly gross wages	Tax
To EUR 688.53	0 %
Over over EUR 688.53 to EUR 1,669.17	2.3%
over EUR 1,669.17 to EUR 3,129.69	4.7%
Over over EUR 3,129.69	8.9%

11. Part-time work

11.1 Special benefit rules for part-time work

11.2 Special tax and social security contribution rules for part-time work

12 Policy developments

12.1 Policy changes introduced during 2007

By the end of 2007 the Slovene government plans to put forward the amendment of the general act (Organisation and financing of education Act) which includes all stages of education from preschool to upper secondary and higher vocational education whereby measuring the quality of education processes is obligatory. By the end of 2007 the Slovene government plans to put forward the amendment of the Primary school Act whereby it enables disabled children to pass within one or more school subjects from the programme with lower standards to programme with equal standards in the course of one or more school years if he or she is capable of it.

There were no legal changes in the field of financial social assistance in 2007 and no changes are foreseen for 2008.

Changes referring to alimonies: Article 29 of the Social Security Act (OJ RS, No. 3/07 – official consolidated text, 23/07 – corrigendum, 41/07 – corrigendum and 114/06 – ZUTPG) were published in the Act Amending the Social Security Act (OJ RS, No. 105/06) and came into force on 28 February 2007. The method of determining the amount of the basic minimum income, which is set according to the Act on

Adjusting Transfers for Individuals and Households in the Republic of Slovenia (OJ RS, No. 114/2006) was also changed. The mentioned Act was published in 2006 and came into force in 2007.

Important changes that refer to the eligibility to receive financial social assistance, were published in 2006 and came into force in 2007 are:

Article 29

Notwithstanding the other provisions of this act, the following groups of persons are not taken into account in determining the eligibility to receive financial social assistance:

- Children and stepchildren from the second and third indents of Article 26 of this Act who are in foster care and whose parents are entirely exempt from paying for foster care,
- Children and stepchildren from the second and third indents of Article 26 of this Act who receive alimony or survivors' pension higher than the minimum income that they would receive if they had no other income, and
- Other persons who are in institutional care and are entirely exempt from payment of services, and not their income.

Article 26

For the purposes of this Act, a family shall be deemed to consist of the following persons or family members:

- The spouse or a person who has lived at least one year in cohabitation with the person exercising the right to financial social assistance which, pursuant to the Marriage and Family Relations Act, is equalised with marriage in terms of legal consequences,
- The children of the person exercising the right to financial social assistance, for as long as this person is obliged to provide for them in line with regulations on the obligation to support a child,
- The stepchildren of the person exercising the right to financial social assistance, for as long as this person is married or is in relationship referred to in the first indent of this paragraph with one of the stepchild's parents who is obliged to provide for his or her child,
- Minor grandchildren, nephews or nieces and brothers or sisters of the person exercising the right to financial social assistance, or persons from the first indent of this paragraph, if this person provides for orphan minor grandchildren, nephews or nieces, or brothers or sisters.

Notwithstanding the provision of the preceding paragraph, a family shall be deemed to include also an adult person for whom, in accordance with statute or another legal title, one of the family members is obliged to provide (to a major extent), if this person has no income of his own or property to the level of the minimum income. A single person shall be deemed to be a person who has no family members in accordance with this Act.

On 28 January 2007 the Social Security Act (OJ RS, No. 3/07 – official consolidated text, 23/07 – corrigendum, 41/07 – corrigendum and 114/06 – ZUTPG) became the legal basis for granting financial social assistance and should be quoted accordingly.

Among the tasks of the social partners, **the valid social agreement for the period 2007-2009** also defines especially the coordination of working and family life. The state will encourage flexible forms of employment and encourage employers to become family-friendly enterprises.

With the new legislation in the area of parental protection and family benefits in Parental Protection and Family Benefits Act (*Zakon o starševskem varstvu in družinskih prejemkih*); Official gazette 110/06, was changed.

Parent's right to part-time work. One of the parents who nurses and cares for two children may extend the right until the younger child reaches the age of six years.

Payment of contributions in case of four or more children. One of the parents who leaves the labour market in order to nurse and care for four or more children shall have the right to the payment of social security contributions on the basis of the minimum wage until the youngest child reaches the age of ten years. A person shall be considered to have left the labour market within the meaning of the provisions of this Article if he or she has terminated employment with a consensual cancellation or with the termination of the employment contract at his or her request or if he or she has been removed from the register of unemployed people at his or her own request.

Large family allowance is an annual benefit intended for families with several children. Large family allowance for a family with three children shall amount to 350,73 EUR. Large family allowance for a family with four or more children shall amount to 427,72 EUR.

12.2 *Future policy changes announced in 2008*

In 2008 the Slovenian Government plans amendments and supplements to the Pre - school education Act whereby it wishes to introduce the additional privilege- the costless care in the kindergarten for the second and each next preschool child in the family who are included in the kindergarten simultaneously. This measure will enable more parents to include children in the kindergarten at a lower price and enable children good preschool education.

There were no legal changes in the field of financial social assistance in 2007 and no changes are foreseen for 2008.

We also give special emphasis to the status of children and their interests. The *National development programme for improving the status of children and youth in Slovenia for the period 2005-2015*, which is currently in the drafting stage, covers the following headings: health and a healthy way of life among children, family policy, access to quality education for all children, changing social services in support and help for children and their families, the fight against poverty and social exclusion, social concern for children, protection of children from neglect, violence and abuse, preventing use and protection of children from drugs, quality leisure time, planning children-friendly towns, the influence and role of the mass media, information for and the participation of children, and other areas. The national programme will define the activities of the Slovenian Government in this area, which will accord with the Government's programme addressed by the end of 2005.